FFIEC

Federal Financial Institutions Examination Council

Arlington, VA 22226

CALL REPORT DATE: September 30, 2026

THIRD 2026 CALL, NUMBER 317

SUPPLEMENTAL INSTRUCTIONS

September 2026 Call Report Materials

There are no new Call Report data items in the FFIEC 031, FFIEC 041, and the FFIEC 051 Call Report forms this quarter. Instructions for Schedule RC-R, Part I, Regulatory Capital, for all three report forms have been updated to align with the banking agencies' final rule effective July 1, 2026, that lowers the community bank leverage ratio (CBLR) requirement from 9 percent to 8 percent and extends the two-quarter grace period to four quarters. Therefore, the topic, "Community Bank Leverage Ratio," has been removed from the Supplemental Instructions this quarter. One new topic, "Reporting Custodial and Reciprocal Deposits" has been added to the Supplemental Instructions for September 2026 in response to the 21st Century ROAD to Housing Act. Call Report Instructions for all three Call Report forms have been updated for reporting reciprocal deposits consistent with this law.

The General Instructions for all three Call Report forms have also been updated to reflect the change in the due date for Call Report submissions for reporting periods that have a due date that falls on a weekend or a federal holiday. For example, except for certain institutions with foreign offices, the Call Report submission due date for the December 31, 2026, report date, is Saturday, January 30, 2027. Since this due date falls on the weekend, these institutions are provided the option to submit their Call Reports no later than the next business day, Monday, February 1, 2027.

The instructions for the FFIEC 031, FFIEC 041, and FFIEC 051 Call Reports for September 2026 are available for printing and downloading from the FFIEC's website (https://www.ffiec.gov/ffiec_report_forms.htm) and the FDIC's website (https://www.fdic.gov/callreports). Sample FFIEC 031, FFIEC 041, and FFIEC 051 Call Report forms, including the cover (signature) page, for September 2026 also can be printed and downloaded from these websites. In addition, institutions that use Call Report software generally can print paper copies of blank forms from their software. Please ensure that the individual responsible for preparing the Call Report at your institution has been notified about the electronic availability of the September 2026 report forms, instructions, and these Supplemental Instructions. The locations of substantive changes to the text of the previous quarter's Supplemental Instructions, if any, are identified by a vertical line in the right margin.

Submission of Completed Reports

Each institution's Call Report data must be submitted electronically to the FFIEC's Central Data Repository (CDR) (https://cdr.ffiec.gov/cdr/). The CDR Help Desk is available from 9:00 a.m. until 8:00 p.m., Eastern Time, Monday through Friday, to provide assistance with user accounts, passwords, and other CDR system-related issues. The CDR Help Desk can be reached by telephone at (888) CDR-3111, by fax at (703) 774-3946, or by e-mail at cdr.help@cdr.ffiec.gov.

Information on vendors that offer Call Report preparation software is available from the CDR Help Desk.

Amending Previously Submitted Report Data

Should your institution find that it needs to revise previously submitted Call Report data, please make the appropriate changes to the data, ensure that the revised data passes the FFIEC-published validation criteria, and submit the revised data file to the CDR using the same processes as the original filing.

Reporting Reciprocal and Custodial Deposits

The 21st Century Renewing Opportunity in the American Dream to Housing Act (Housing Act) amends the

limited exception for reciprocal deposits under Section 29 of the Federal Deposit Insurance (FDI) Act and adds a new limited exception for custodial deposits from treatment as brokered deposits for eligible institutions effective upon enactment on July 11, 2026.

Reporting Reciprocal Deposits

Section 902 of the Housing Act amends Section 29 of the FDI Act to make changes to the limited exception for reciprocal deposits. The Housing Act changes the method for calculating an institution's *general cap* with a graduated scale based on an agent institution's total liabilities and amends the definition of "agent institution." On August 27, 2026, the FDIC adopted an interim final rule (IFR), effective September 1, 2026, amending its regulations to conform to the changes made by the Housing Act. For Call Report purposes, institutions should complete Schedule RC-E, Memorandum items 1.b through 1.d, and Schedule RC-O, item 9 and, if applicable, item 9.a, in accordance with the updated instructions for these items included in the Call Report instructions for September 30, 2026. Consistent with the IFR, brokered reciprocal deposits reported in Schedule RC-O, item 9 and, if applicable, item 9.a will be confidential and will no longer be made available to the public on an individual institution basis.

Reporting Custodial Deposits

Section 901 of the Housing Act amends Section 29 of the FDI Act to exclude a limited amount of custodial deposits from being considered brokered deposits for "eligible institutions." Under Section 901 of the Housing Act, custodial deposits of eligible insured depository institutions with less than $10 billion in total assets would not be considered brokered deposits up to a capped amount. For Call Report purposes, institutions that wish to report pursuant to the new law for the September 30, 2026, report date, should apply the newly defined terms and other provisions of Section 901 of the Housing Act to determine whether an institution and its custodial deposits are eligible for the statutory exception. Eligible institutions may use available information to reasonably estimate and report as brokered deposits (in Schedule RC-E, Memorandum items 1.b through 1.d) only those deposits that are still considered brokered deposits under the new law on a best-efforts basis. Alternatively, for the September 30, 2026, report date, institutions may continue to report custodial deposits as brokered deposits in Schedules RC-E and RC-O consistent with the current brokered deposit regulations and Call Report instructions (i.e., those instructions in effect prior to the enactment of the Housing Act).

Once the FDIC adopts a final rule amending its regulations, the FFIEC anticipates issuing additional instructions for reporting custodial deposits. Institutions that wish to amend their reporting of custodial and brokered deposits in their Call Reports as originally filed for the September 30, 2026, report date, and subsequent report dates, may use future additional instructions as the basis for their amended reports.

FDIC Special Assessment

On November 16, 2023, the FDIC Board of Directors adopted a final rule (88 FR 83329) to implement a special assessment to recover the estimated loss to the Deposit Insurance Fund (DIF) associated with protecting uninsured depositors following certain 2023 bank closures. On December 16, 2025, the FDIC Board of Directors adopted an interim final rule (90 FR 59369) to reduce the rate at which the special assessment was collected in the eighth collection quarter, remove the extended assessment period provision, and to provide an offset to regular quarterly deposit insurance assessments for banks subject to the special assessment if the amount collected exceeds losses beginning the quarter after the resolution of final, unappealable, judgment or settlement of litigation between the FDIC and SVB Financial Trust (SVBFT). As of June 30, 2026, the total amount collected through the special assessment exceeded the estimated loss arising from the use of the systemic risk exception following the 2023 bank closures.

For Call Report purposes, each institution subject to this special assessment should account for it in accordance with ASC Subtopic 450-20. The estimated amount of the special assessment should be accrued as a liability (Schedule RC-G, Other Liabilities, item 1.b, "Other expenses accrued and unpaid") and an expense (Schedule RI, Income Statement, item 7.d, "Other noninterest expense", and Schedule RI-E, Explanations, item 2.g, "Other noninterest expense: FDIC deposit insurance assessments"). If an institution had accrued its best estimate of the liability for the special assessment and the related expense, based on the November 2023 final rule, an institution should adjust its previous accrual based on special assessment payments made during the initial collection period, which ended March 30, 2026. Further adjustments may be

warranted following the resolution of the final, unappealable judgment or settlement, and the FDIC will notify institutions subject to the special assessment of any revisions, including any offsets provided to regular deposit insurance assessments.

As with all failed bank loss estimates, the loss estimates to be recovered by the special assessment will be periodically adjusted as FDIC as the receiver of the failed bank sells assets, satisfies liabilities, and incurs receivership expenses.

Recently Issued Accounting Standards Updates

Accounting for Internal-Use Software

In September 2025, the FASB issued ASU 2025-06, "Intangibles–Goodwill and Other–Internal-Use Software (Subtopic 350-40)," which amended the guidance on accounting for internal-use software costs to align more closely with current software development methods. These amendments apply to all entities subject to guidance in Accounting Standards Codification (ASC) Subtopic 350-40, Intangibles—Goodwill and Other—Internal-Use Software. Under the new standard, entities will start capitalizing eligible costs when management has authorized and committed to funding the software project, and it is probable that the project will be completed and the software will be used to perform the function intended (referred to as the "probable-to-complete recognition threshold"). In evaluating this threshold, an entity is required to consider whether there is significant uncertainty associated with the development activities of the software.

The amendments in the ASU are effective for all entities for annual reporting periods beginning after December 15, 2027, and interim reporting periods within those annual reporting periods. The new guidance can be applied on a prospective transition approach, modified transition approach, or retrospective transition approach. Early adoption of ASU 2025-06 is permitted as of the beginning of an annual reporting period.

Accounting for Purchased Loans

In November 2025, the FASB issued ASU 2025-08, "Financial Instruments—Credit Losses (Topic 326): Purchased Loans," which amended the guidance on accounting for purchased loans. The amendments in the ASU are applicable to all financial institutions subject to guidance in ASC Topic 326, Financial Instruments—Credit Losses.

The amendments in the ASU, once effective, expand the population of acquired financial assets subject to the gross-up approach in ASC Topic 326 to purchased seasoned loans (PSL). Loans (excluding credit cards) acquired without credit deterioration and deemed "seasoned" are considered PSL and accounted for using the gross-up approach at acquisition. The gross-up approach requires recognition of an Allowance for Credit Losses (ACL) for the estimate of credit losses at the acquisition date. The ACL is recorded with an offsetting gross-up adjustment to the purchase price of the acquired financial asset. This ASU does not amend the accounting for purchased credit deteriorated (PCD) financial assets. Specifically, after an institution determines that a loan is a non-PCD asset based on its assessment of credit deterioration experienced since origination, the institution should apply the guidance described in the amendments to determine whether the loan is seasoned and, therefore, should be accounted for using the gross-up approach.

All non-PCD loans (excluding credit cards) that are acquired in a business combination are deemed seasoned. Other non-PCD loans (excluding credit cards) are deemed seasoned if they were purchased at least 90 days after origination and the acquirer was not involved in the origination of the loans. Purchased seasoned loans do not include credit cards, debt securities, and trade receivables arising from transactions accounted for under ASC Topic 606 on revenue from contracts with customers.

The amendments in the ASU are effective for all financial institutions for annual reporting periods beginning after December 15, 2026, and interim reporting periods within those annual reporting periods. The amendments in the ASU should be applied prospectively to loans acquired on or after the initial application date.

Early adoption is permitted in an interim or annual reporting period in which financial statements have not yet been issued or made available for issuance. If a financial institution adopts the amendments in an interim reporting period, the financial institution should apply the amendments as of the beginning of that interim reporting period or the beginning of the annual reporting period that includes that interim reporting period.

Financial institutions that early adopt should report initial ACLs recognized upon acquisition of PSL on Schedule RI-E, item 6.a., consistent with the reporting of initial ACLs on PCD assets. Financial institutions should ensure that amounts reported on Schedules RC-R, Part I and Part II, are appropriately reported in accordance with the agencies' regulatory capital rules (12 CFR Part 3 (OCC); 12 CFR Part 217 (Board); and 12 CFR Part 324 (FDIC)). Should a financial institution have specific reporting questions, please contact your primary Federal regulator.

Until the amendments are effective, financial institutions who do not early adopt should continue to refer to current U.S. GAAP and the Call Report instructions, including the Glossary entries for "Allowances for Credit Losses," "Business Combinations," and "Purchased Credit-Deteriorated Assets."

Accounting for Hedging Activities

In November 2025, the FASB issued ASU 2025-09, "Derivatives and Hedging (Topic 815): Hedge Accounting Improvements." The ASU applies to all entities that elect to apply hedge accounting in accordance with ASC Topic 815. The ASU addresses five discrete issues and intends to better enable entities to achieve and maintain hedge accounting for highly effective economic hedges of forecasted transactions. An entity may elect to adopt the ASU for hedging relationships that exist as of the date of adoption. Upon adoption of the ASU, entities are permitted to modify certain critical terms of certain existing hedging relationships without dedesignating the hedge.

The amendments in this ASU are effective for public business entities in annual reporting periods beginning after December 15, 2026 (including interim periods within) and one year later for all other entities (including interim periods within). Early adoption is permitted, and entities should apply the ASU on a prospective basis for all hedging relationships.

Accounting for Government Grants

In December 2025, the FASB issued ASU 2025-10, "Accounting for Government Grants Received by Business Entities," which amended ASC Topic 832, "Government Grants," to establish guidance on the recognition, measurement, and presentation of government grants received by business entities.

The amendments in the ASU are effective for public business entities in annual reporting periods beginning after December 15, 2028 (including interim periods within) and one year later for all other entities, with early adoption permitted in any period for which financial statements have not yet been issued. The guidance can be applied on a modified prospective basis, a modified retrospective basis, or a full retrospective basis. Early adopters should report income related to government grants in Schedule RI, item 5.l, "Other noninterest income" or item 7.d, "Other noninterest expense", consistent with the gross or net alternatives in ASC Topic 832.

Other Information

The Call Report instructions will be revised to conform to these ASUs at a future date, as appropriate.

For additional information, institutions should refer to the FASB's website at https://www.fasb.org/standards/accounting-standard-updates which includes a link to the accounting standard updates.

Debt Securities Transferred from Available-for-Sale to Held-to-Maturity

ASC Topic 320, Investments–Debt Securities, provides relevant guidance on accounting for debt securities. In accordance with ASC Topic 320, institutions should categorize an investment in a debt security at acquisition as trading, available-for-sale (AFS), or held-to-maturity (HTM) and retain proper documentation as to its classification. At each reporting date, the appropriateness of an institution's classification of the investments in debt securities shall be reassessed.[1] In general, the reassessment of the classification of debt securities should align with the quarterly Call Report dates.

[1] ASC paragraph 320-10-35-5.

In accordance with ASC Topic 320, any transfers of debt securities between categories are recorded on the date of transfer. As with the initial classification of debt securities, any transfers of debt securities between categories should be well documented. An institution's financial records shall be maintained in such a manner as to ensure that the Call Report is prepared in accordance with U.S. GAAP and Call Report instructions and reflect a fair presentation of the institution's financial condition and results of operations. Amending a previously submitted Call Report to retroactively report a debt security in another category when such transfer was not documented with evidence supporting the actual date of transfer is inappropriate. Institutions are responsible for ensuring that Call Reports are accurate when initially filed for a quarterly reporting period.

For additional information, refer to ASC Topic 320, the Call Report General Instructions, and the Call Report Glossary entries for "Allowances for Credit Losses" and "Securities Activities."